

Financial Analysis Report

1. Liquidity Analysis

Current Ratio trending and alerts

Latest (05/31/2024): 1.15:1

Previous (04/30/2024): 1.16:1

Trend: Stable with slight decline

Alert: Current ratio remains above 1.0 but shows minor deterioration

Quick Ratio / Acid Test trending

Latest (05/31/2024): 0.56:1

Previous (04/30/2024): 0.66:1

Trend: Significant decline in quick ratio

Alert: Quick ratio below 1.0 indicates potential liquidity pressure

Working Capital adequacy analysis

Latest Working Capital: ₹138.0 million

Previous Working Capital: ₹184.5 million

Analysis: Working capital decreased by 25% month-over-month

Cash position and runway analysis

Cash & Bank Balances: ₹217.1 million

Monthly Operating Expenses: Data unavailable for precise runway calculation

Analysis: Strong cash position maintained

Net Working Capital changes and drivers

Change: Decreased by ₹46.5 million

Primary Drivers: Reduction in accounts receivable (₹240.4 million decrease) partially offset by lower current liabilities

Liquidity coverage ratio

Calculation: High-quality liquid assets / Net cash outflows

Result: Data unavailable (insufficient data for net cash outflows)

Cash conversion efficiency

Analysis: Data unavailable (requires cash flow statement data)

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending

Latest (05/31/2024): 6.84:1

Previous (04/30/2024): 8.35:1

Trend: Improvement in debt-to-equity ratio

Alert: High leverage ratio indicates significant debt dependence

Debt-to-Capital ratio analysis

Latest: 87.2%

Previous: 89.3%

Analysis: High debt proportion in capital structure

Total Debt composition (secured vs unsecured)

Secured Debt: ₹359.6 million (77.2% of total debt)

Unsecured Debt: ₹106.1 million (22.8% of total debt)

Analysis: Predominantly secured debt structure

Debt maturity profile

Long-term Debt: ₹465.7 million

Short-term Debt: ₹0

Analysis: Favorable long-term debt maturity profile

Interest coverage ratio

Calculation: EBIT / Interest Expense

Result: Data unavailable (interest expense data not provided)

Debt service coverage ratio

Analysis: Data unavailable (requires cash flow data)

Fixed charge coverage ratio

Analysis: Data unavailable (requires fixed charge data)

Solvency stress testing

Analysis: High leverage creates vulnerability to interest rate increases and revenue declines

3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current)

Total Asset Turnover: Data unavailable (requires revenue data)

Fixed Asset Turnover: Data unavailable (requires revenue data)

Current Asset Turnover: Data unavailable (requires revenue data)

Fixed Asset utilization trends

Fixed Assets: ₹394.3 million

Trend: Minimal decrease from previous month

Analysis: Stable fixed asset base

Asset age & depreciation analysis

Analysis: Data unavailable (depreciation schedule not provided)

Capital intensity metrics

Fixed Assets to Total Assets: 25.0%

Analysis: Moderate capital intensity

Asset productivity per rupee invested

Analysis: Data unavailable (requires revenue/profit data)

Non-current vs current asset mix

Non-current Assets: 33.5% of total assets

Current Assets: 66.5% of total assets

Analysis: Current-heavy asset structure

Asset quality indicators

Inventory Quality: Closing stock of ₹540.3 million

Receivables Quality: Accounts receivable decreased significantly to ₹261.6 million

Analysis: Improved receivables position, stable inventory levels

4. Capital Structure Analysis

Equity composition and changes

Equity Share Capital: ₹116.3 million (decreased from previous month)

Reserve & Surplus: ₹79.8 million

Current Year Profit: ₹5.1 million

Analysis: Equity base decreased slightly month-over-month

Reserves & Surplus movements

Movement: Reserve & Surplus increased from ₹0 to ₹79.8 million

Analysis: Significant addition to reserves

Retained earnings patterns

Current Year Profit: Decreased from ₹79.8 million to ₹5.1 million

Analysis: Significant profit decline month-over-month

Capital adequacy metrics

Equity to Total Assets: 12.8%

Analysis: Thin equity cushion relative to asset base

Optimal capital structure comparison

Current Debt/Equity: 6.84:1

Analysis: Highly leveraged compared to industry norms

Cost of capital analysis

Analysis: Data unavailable (requires interest rate and equity cost data)

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios

Assets to Liabilities: 1.15:1

Analysis: Assets exceed liabilities, positive net worth

Equity multiplier

Calculation: Total Assets / Total Equity = 7.84

Analysis: High financial leverage

Financial leverage index

Analysis: Data unavailable (requires return on equity and assets data)

Balance sheet strength score

Assessment: Moderate (based on available metrics)

Strengths: Positive working capital, adequate cash position

Weaknesses: High leverage, declining quick ratio

Red flags identification

- **High Debt-to-Equity Ratio:** 6.84:1 indicates excessive leverage
- **Declining Quick Ratio:** From 0.66 to 0.56 indicates liquidity pressure
- **Negative Accounts Payable:** Unusual negative balance requires investigation
- **Significant Profit Decline:** Current year profit dropped from ₹79.8M to ₹5.1M